

		The agreement also provides that Defendants were obligated to provide a minimum of two weeks of training, totaling at least 14 hours. ("Seller agrees to provide training to Buyer over a two-week period following the Closing Date per Seller's schedule. At minimum, Seller shall train Buyer for 14 hours during the two weeks period." [Ex. A]). Plaintiff alleges that Defendants provided inaccurate or misleading financial information and by failing to disclose material facts regarding the Business's profit and loss, and also failed to comply with the training requirement. (Compl., ¶¶ 20, 34). Plaintiff alleges that it paid the earnest deposit, closed the deal and assumed control of the business. (Compl., ¶¶ 16, 20, 22). Finally, Plaintiff alleges that it sustained damages from Defendants' breach. (Compl., ¶ 35). However, Plaintiff failed to allege that the individual Defendants were parties to the contract. The contract was only signed by Ms. Perkins "<u>on behalf of</u>" Senoa. Because the alter ego theory of liability is insufficiently plead, and Plaintiff has not alleged a contract with the individual Defendants, the court overrules the demurrer as to Senoa and sustains the demurrer as to the individual Defendants. <u>Breach of implied covenant of good faith and fair dealing</u> The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation. (See <i>Racine & Laramie, Ltd. v. Department of Parks & Recreation</i> (1992) 11 Cal.App.4th 1026, 1031). "[A]llegations which assert such a claim must show that the conduct of the defendant, whether or not it also constitutes a breach of a consensual contract term, demonstrates a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (<i>Careau & Co. v. Security Pacific Business Credit</i> (1990) 222 Cal.App.3d 1371, 1395). Furthermore, if allegations of breach of the covenant of good faith "do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (<i>Id.</i> at p. 1395.) Defendants contend that this cause of action fails because it relies on the same facts and the same harm as the breach of contract cause of action. However, Plaintiff has adequately plead actions by Defendants that go beyond just breaching the terms of the contract. Plaintiff adequately plead fraudulent misrepresentation, concealment, and inducement in connection to the misrepresented revenue and concealed expenses. Therefore, the court overrules the demurrer as to Senoa. However, a plaintiff cannot have a bad faith claim without a claim for breach of contract. (See <i>Racine & Laramie, supra</i>, 11 Cal.App.4th at 1032 ["There is no obligation to deal fairly or in good faith absent an
--	--	--

		existing contract.”]). Because Plaintiff failed to state a cause of action for breach of contract against the individual Defendants, the demurrer is sustained as to this cause of action against the individual Defendants. <u>Unfair business practices</u> Business and Professions Code section 17200 prohibits “unfair competition,” which is defined to include “any unlawful, unfair or fraudulent business act or practice” and “unfair, deceptive, untrue or misleading advertising” and any act prohibited by business and professions code section 17500. A cause of action must be stated with “reasonable particularity.” (<i>Gutierrez v. Carmax Auto Superstores California</i> (2018) 19 Cal.App.5th 1234, 1261.) Because Plaintiff has adequately alleged fraudulent business practices as discussed above, the court overrules the demurrer as to this cause of action. Defendants shall give notice. <u>Case Management Conference</u> The Case Management Conference is continued to July 16, 2026, at 9:00 a.m. in this department. Plaintiff to give notice.
--	--	--